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FINANCIAL PLAN

How to write a financial map for your business idea

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SUMMARY

The financial map course intends to present a set of concepts and methodologies helpful in preparing a financial plan.

- The importance of the financial plan as a management control instrument.
- Have a clear image of what should be included in an effective financial plan.

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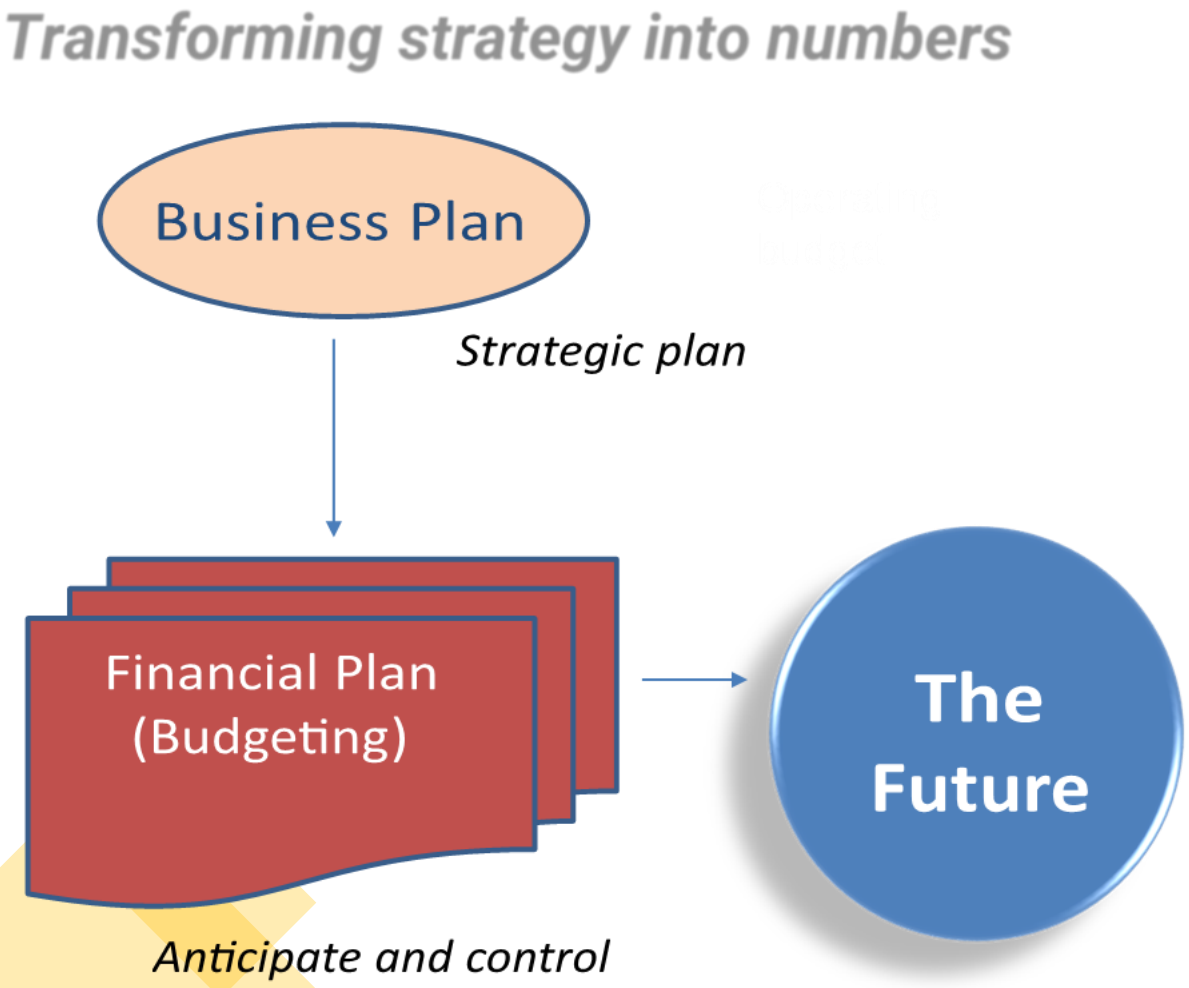
1 → INTRODUCTION TO THE FINANCIAL PLAN



- The financial plan/map is an integral part of the business plan.
- A financial plan helps determine if a business idea is sustainable and economically feasible.

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1 → INTRODUCTION TO THE FINANCIAL PLAN

Financial Planning: The consists in anticipating the actions to be carried out within predictable scenarios regarding a business, and estimating the means (human, material, and financial) to be used. Planning is anticipating the future while trying to minimise its uncertainty.

It is also an important ally when searching for investors. It shows potential investors the economic feasibility, the financial health of the business and how it compares to relevant benchmarks like same industry mean.

It is an important decision-making instrument.

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1 → INTRODUCTION TO THE FINANCIAL PLAN

Important features of financial planning:

- ✓ A management control instrument that allows quantifying the defined objectives for an investment project or company in order to **anticipate problems** and **prepare for the future**.
- ✓ Estimation of **how profitable** the business is expected to be in the future and **possible financial risks** involved.
- ✓ What **funds are required** for developing the business: how much money is needed and what sources are available.

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1 → INTRODUCTION TO THE FINANCIAL PLAN

Important features of financial planning (cont.):

- ✓ **Control the activity** (benchmarks and targets to achieve).
- ✓ **Especially important for startups**, since it is the only available information for potential investors and other financiers to analyse.

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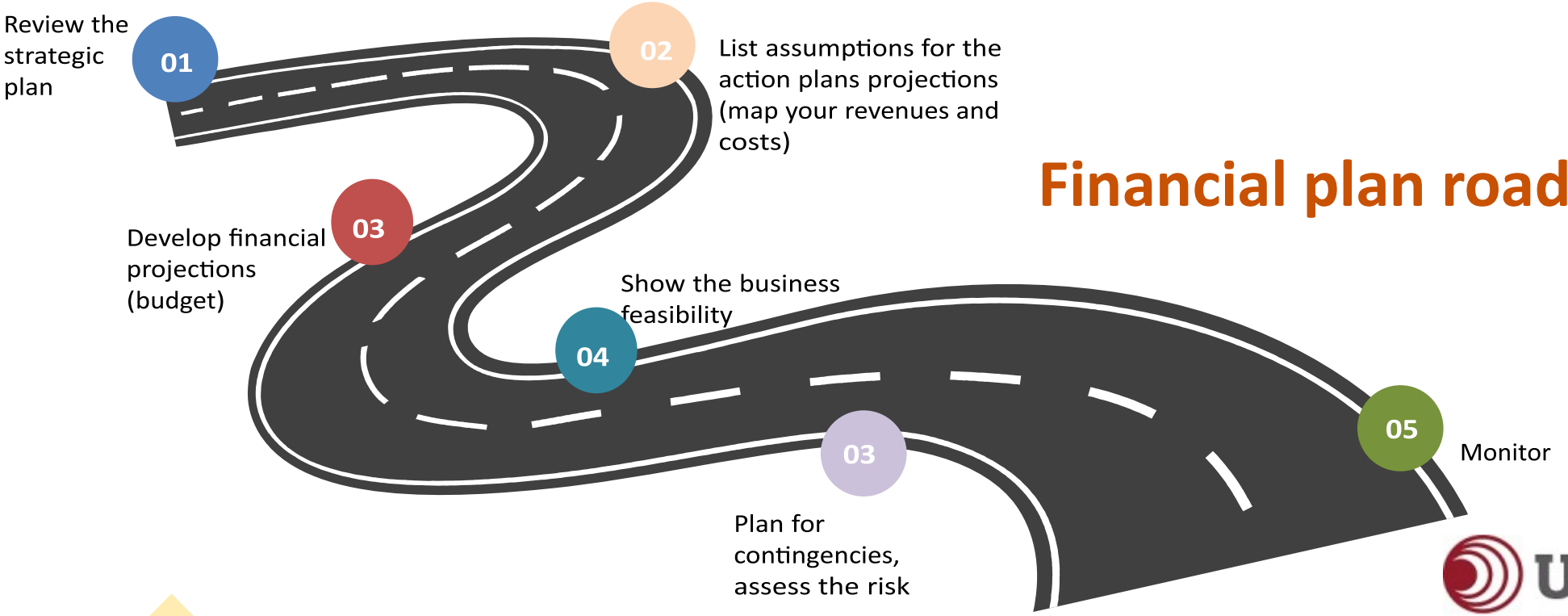

Financial plan roadmap

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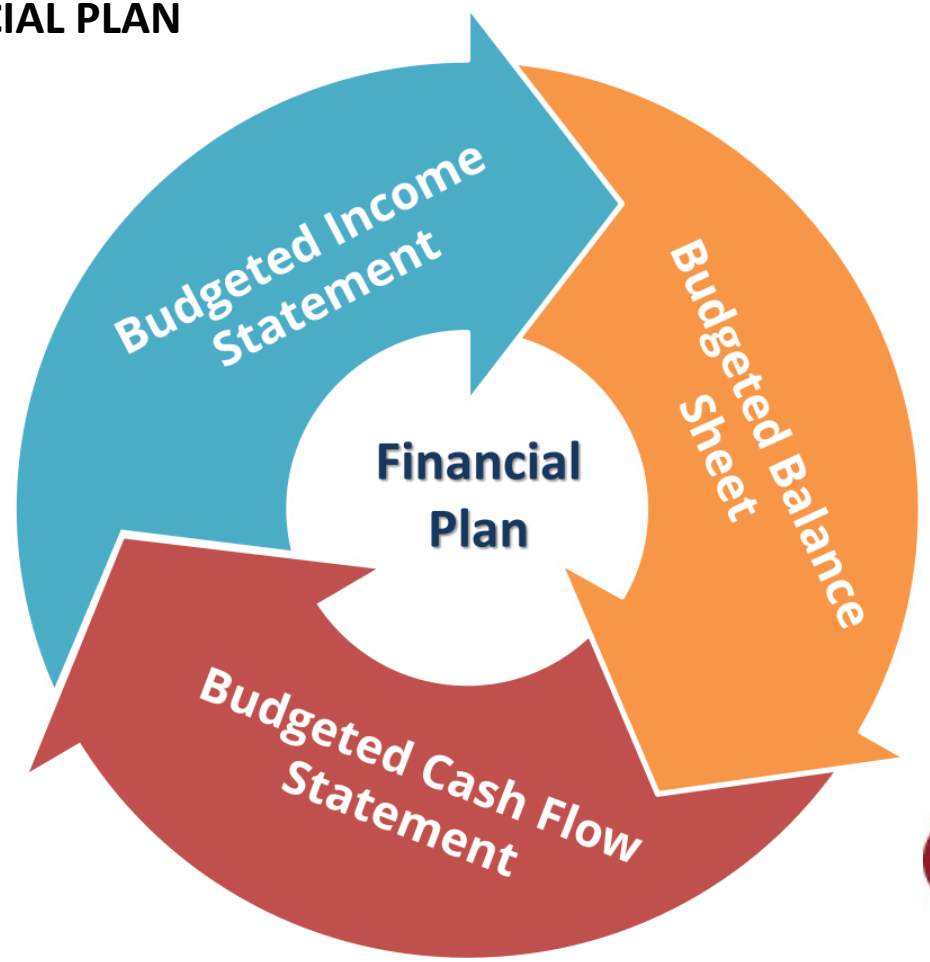
1 → INTRODUCTION TO THE FINANCIAL PLAN

A financial plan provides a clear **image of your business financials**.

There are **3 key financial statements** that make up a business financial plan.



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1 → INTRODUCTION TO THE FINANCIAL PLAN

Budgeted income statement

A budgeted income statement (also known as a profit and loss statement (P&L)) shows the company's profit or loss over a period of time. It details all revenues and expenses and the profit or loss generated by the business.

Gross margin = Revenue – Direct Costs

Operating Profit = Gross Margin – Operating Expenses

Net Profit = Revenue – Total Expenses

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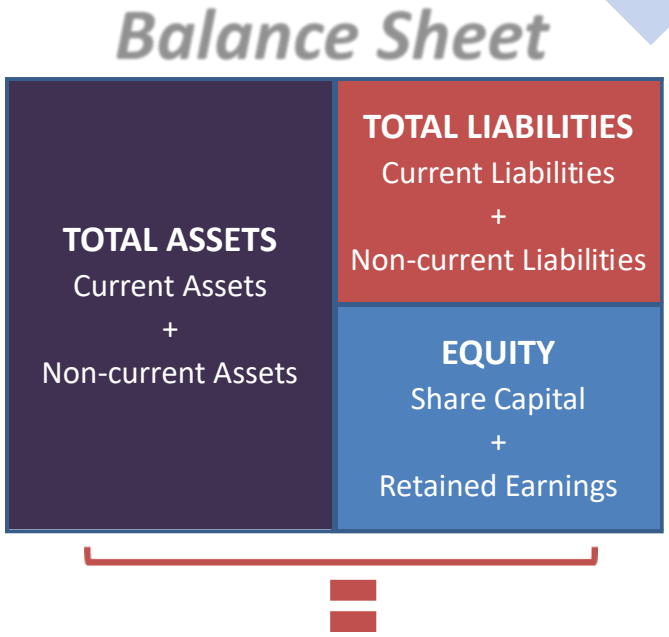
1 → INTRODUCTION TO THE FINANCIAL PLAN

Budgeted balance sheet

The balance sheet shows a company's financial position at a given period. A balance sheet has three major sections: assets, liabilities, and equity. Assets are the resources a company has, and liabilities and equity are the means for financing those resources.



The balance sheet is based on the fundamental equation:

Assets = Liabilities – Equity

(assets must always equal liabilities plus equity)

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Budgeted cash flow statement

A Budgeted cash flow statement details cash operations (cash inflows and cash outflows).

It is divided into three sections:

- Cash flow from operating activities.
- Cash flow from investing activities.
- Cash flow from financing activities

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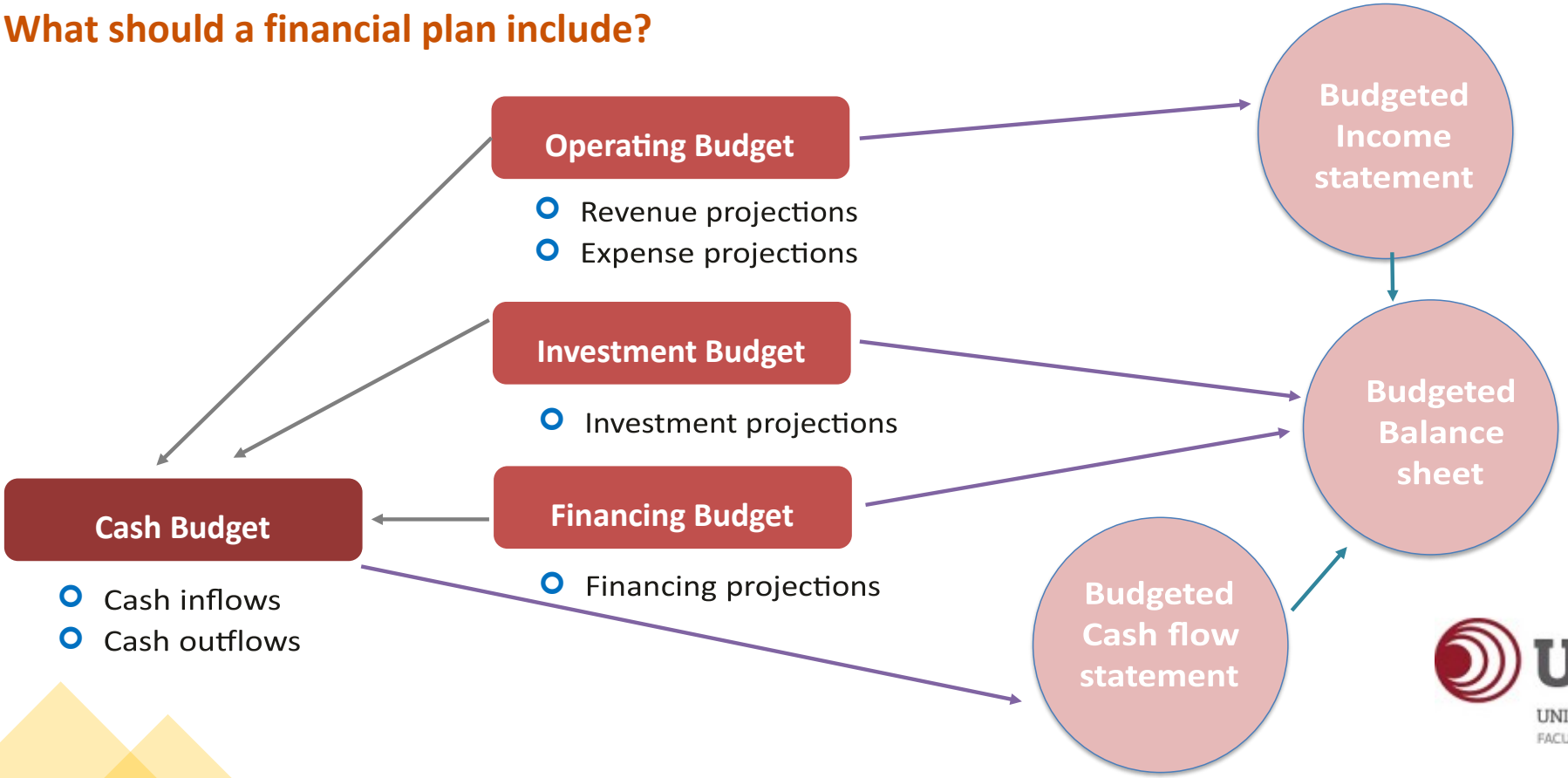
What should a financial plan include?



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2 → OPERATING BUDGET

An **operating budget** consists of all revenues and expenses, over a period, which a company can use to plan its operations, and defining the goals it expects to achieve. It includes all revenues and associated expenses regarding the regular activity of the company. It shows how profitable the business is.

*The operating budget shows **operating profit (or loss)**, that is, revenues minus expenses.*

Revenue > Expense = operating profit

Gross margin

Operating profit

Revenue < Expense = operating loss

EBITDA

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Revenue projections: sales/services

Although each business is unique and every activity sector has different characteristics, some items are common to most businesses. Usually, the primary stream of revenue is sales/services revenue.

- **Total Revenue**
  - Sales/services revenue.
  - Other streams of revenue.

- **<u>Sales/services are usually broken down into their drivers and components</u>**
  - Volume (units, contracts, customers, products, number of subscribers, territories, etc.)
  - Price (average price, price per unit, price per service, price per billable hour, etc.)

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Revenue projections: sales/services

How to estimate sales/services revenue?

- ✓ Knowledge of the business.
- ✓ Sales staff expertise.
- ✓ Market researchers.
- ✓ Trend analysis.
- ✓ Look for drivers.
- ✓ Industry sales mean value as a benchmark.
- ✓ The simple growth rate from previous years.
- ✓ Econometric models.

Important tip:

know your business

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2 → OPERATING BUDGET

Revenue projections: sales/services

Most importantly

Define clear assumptions, expectations, and what drives your sales based on your business knowledge.

It is not predicting the future instead, we prepare for the future, and that comes from knowing the business and its environment.

Be conservative.

Also, do regular reviews.

Plan for the worst, expecting the best.

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2 → OPERATING BUDGET

Revenue projections: sales/services

Step 1: Set up your line items of sales/services
Break down your total sales/services revenue into the main category of sales services you intend to offer within your business. Be careful not to use unnecessary detail; it will only make it more difficult to prepare and to analyse.

(For example, at a game development studio, do not estimate services for every game developed instead, use the type of service: Game concepts and development for Pc, Game concepts and development for IOS, interface design and software enhancement, etc.)

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Revenue projections: sales/services

Step 2: Define quantity and sales price

- The assumptions should come from the strategic action plans in your business plan.
- Although you can use only the revenue total in your financial plan it is not advisable; it will be more challenging to monitor progress.
- For each line item of sales/services intended, define units and price per unit. When monitoring, this will help you understand what you may need to correct: units or prices. Services rendered do not represent physical units, but they are also measured with units, such as billable hours, days or contracts, audits performed, etc.

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Revenue projections: sales/services

Step 2: Define quantity and sales price (cont.)

- Also, account for recurring revenue (subscriptions), your projections should consider both the number of new possible customers and the number of cancellations (churn).

Currently, subscriptions are an important stream of revenue for several businesses (Monthly Recurring Revenue (MRR)).

Some businesses require a monthly fee for services rendered, it is the case of movie streaming services like Netflix or gym memberships and magazines.

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Revenue projections: sales/services

How to calculate revenue from subscription services?

Account for:
Active Subscribers - the number of customers that you have at the beginning of each month.
New Subscribers - the number of new customers for each month.
Cancellations - the customers that cancel your service each month.

There is also an important aspect to account for, which is **Churn**, the percentage of customers that cancel your service during the month, calculated by: Churn = Cancellations During a Month ÷ Customers at the beginning of the month.

This is an important aspect to keep track of in subscription services because low churn values mean satisfied customers, which means your business is not likely to lose customers in the near future.

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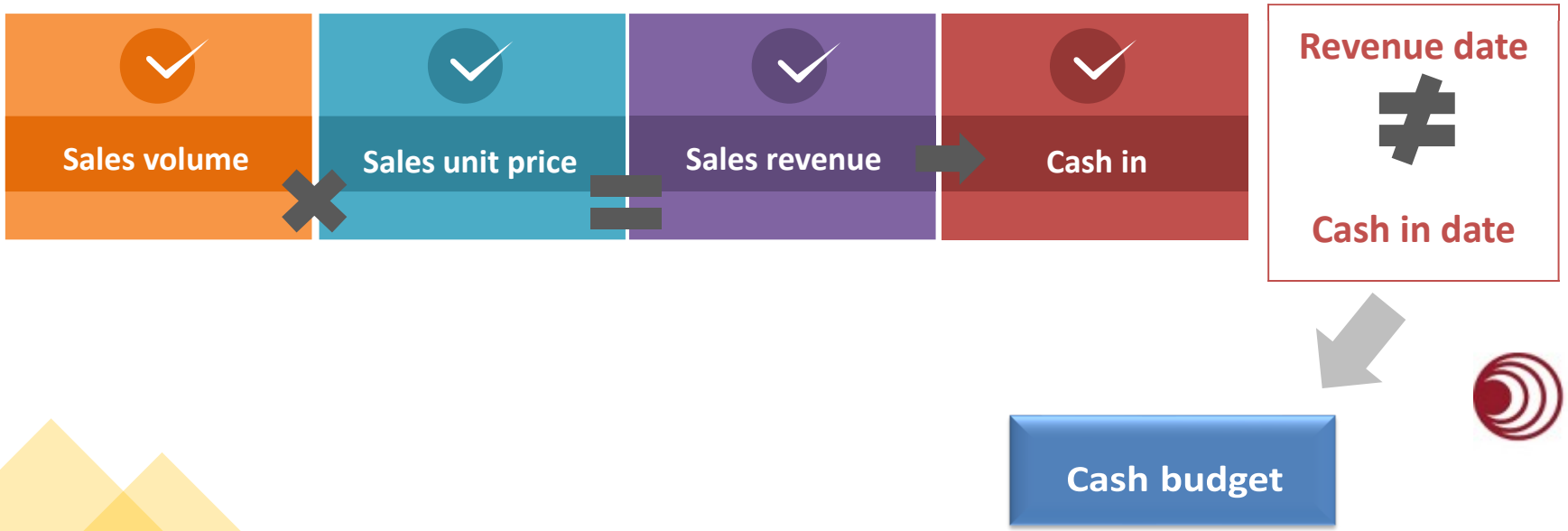
Revenue projections: sales/services

Step 3: After estimating revenue: project the associated cash flows.
Define the operating cycle policy. Will the customers pay on credit or immediately? This information will be necessary to prepare the cash budget.



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Expenses projections:

What expenses are need to run a business?

- **Startup expenses.**
- **Direct costs** (costs of goods or services sold (COGS)) directly related to sales/services, such as, direct labour, raw material, cost of goods sold, etc.).
- **Operating expenses** such as personnel (other than direct labour), rent, utilities, advertising, etc..
- **Interest expense,** related to the financing activities (not part of the operating budget.

Projecting expenses should be based on your knowledge of the business, research, and should derive from what was planned for the activity: operating, investment and financing.

After estimating expenses, also consider the associated cash flows for the cash budget.

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2 → OPERATING BUDGET

Expenses projections:

Variable and fixed costs

According to this classification, costs are classified whether they vary or not with the business's activity level. Fixed costs refer to expenses that do not change with increases or decreases in units of production or sales volume, while variable costs change with the volume of units of production or sales.

Examples:

- **Variable costs**: cost of goods (direct materials, direct labour and other expenses), selling costs, freight and transportation, etc..
- **Fixed costs**: rent, depreciation, insurance, etc..

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Expenses/costs categories to estimate:

Personnel costs

Personnel costs refer to the total amount payable by an employer to an employee in return for his work during a certain period. For many businesses, personnel costs are one the largest expense items, so it should be an important part of the financial plan, since it will considerably impact profitability.

Personnel costs include all costs with salaries, social security charges, workers' compensation insurance, continued payment of salaries during holidays and Christmas bonus (if applicable). Other costs, namely, health insurance, life insurance, uniforms, training, hiring costs, and all other expenses related to employees. Depending on the company, it can also include costs with pension schemes.

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Expenses/costs categories to estimate:

Personnel costs projection: How to prepare?

- **Decide who will make up your team**, and what staffing positions are needed to develop the business. Operations, administrative, selling, customer service and marketing will probably be key staff positions.

- **What salaries to pay the staff**. Above market or in line with market. Also, will the company offer employee benefits, like health insurance, extra paid vacation days, etc.. Consider also future raises for the coming years.

- **Research what are the payroll tax obligations, which differ according to country**. Research about your country's legislation. Usually, income tax and social security charges apply.

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Expenses/costs categories to estimate:

Personnel costs projection: How to prepare? (Cont.)

- **List out key functions or teams** (management, receptionist, seller, customer service team etc.). Include an entry on the personnel budget for each function or team.

- **Define and separate direct and indirect labour**. Direct labour is associated with sales volume; it is part of the cost of goods/services sold. It varies according to the volume of activity; if sales go up, direct labour costs go up and vice-versa, so it is a variable cost and impacts gross margin. Direct labour is most common in manufacturing businesses but can also be used in service-based companies. Indirect labour includes any salaries paid regardless of the volume of sales. For example, the management team, marketing team, the administrative team.

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2 → OPERATING BUDGET

Expenses/costs categories to estimate:

Personnel costs projection: How to prepare? (Cont.)

- **Break down by area of activity**, such as production (Direct and indirect labor), selling, marketing and advertising and general and administrative.

- **Check out fixed and variable costs**. Personnel costs can include variable and fixed costs (this distinction depends on company policies and country legislation). For example, the seller's salary is a fixed cost, but the sales commission is a variable cost.

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2 → OPERATING BUDGET

Expenses/costs categories to estimate:

Personnel costs projection: How to prepare? (Cont.)

- **Include all other employee expenses** (in addition to salaries), payroll taxes, benefits, health insurance, worker's compensation insurance, training, uniforms, etc. It can be done by calculating the exact cost per employee but it can also be calculated as a percentage of the salaries.

- If you are also an employee executing a function in the company, **consider your own salary**.

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2 → OPERATING BUDGET

Salaries scheme for Portugal:

The way salaries are treated depends on country legislation

01 Salary

\+

02 Company social security contribution

\+

06 Other personnel costs

=

07 Total personnel costs

−

03 Income tax on salaries

04 Employee social security contribution

=

05 *Cash out on salaries*

08 *Cash out on payroll taxes*

02 + 03 + 04

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Expenses/costs categories to estimate:

Startup expenses

- **Registrations** (e.g. reserving your company name, one-time expense) **and costs** with health inspections and authorisations to obtain licences to operate (e.g. licence to sell or supply alcohol) to operate.

- **Technological expenses** include the cost of a website, information systems, and software (some costs can be outsourced).

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Expenses/costs categories to estimate:

Cost of Goods or Services Sold (COGS)

- It considers all costs that are **necessary to actually make a product or to provide a service**, like raw materials, consumables, cost of goods, labour, direct material costs, transport costs, etc. (according to the type of business).

- It can be estimated by a **simple percentage of sales revenue**, considering benchmarks and business knowledge or using a more robust and complex method by calculating the actual value needed to sell the products or services. Alternatively, gross profit can be projected, and then mathematically, the cost of goods sold is obtained (Gross profit = Revenue – COGS).

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2 → OPERATING BUDGET

Expenses/costs categories to estimate:

Operating expenses

- Expenses incurred in running the day-to-day of the business, associated with sales and administrative functions. Expenses not associated with production activities (cost of goods/services). **Operating expenses are usually fixed costs**.

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2 → OPERATING BUDGET

Expenses/costs categories to estimate:

Operating expenses (cont.)

- **Selling, Marketing and Advertising Expenses -** Expenses related to selling goods and/or services. Marketing and advertising are often grouped together since they relate to selling.

- **General and Administrative (G&A) Expenses -** Expenses associated with administering the business. General expenses usually apply to the whole company rather than one function or department. They include costs with administrative personnel, office rent, office supplies, insurance, travel expenses, utilities (water, gas, electricity), cleaning and maintenance, along with other operational expenses.

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2 → OPERATING BUDGET

Expenses/costs categories to estimate:

Depreciations and amortisations

- Depreciation and amortisations are planned and gradual reductions in the recorded value of an asset over its useful life.

- **Depreciation applies to tangible assets** and **amortisation to intangible assets**. It is intended to spread the expense recognition over the period in which revenue is expected to be generated from the use of the asset.

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2 → OPERATING BUDGET

Expenses/costs categories to estimate:

Depreciations and amortisations

- Since they **relate to non-current assets**, their value depends on the investment budget.
- Depreciation and amortisations **are considered fixed costs** and can be charged to each expense category they relate to or can be separated into their own category.
- **They are non-cash expenses, so they do not impact cash flow, but they impact the business economic profitability**.

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3 → INVESTMENT BUDGET

- The investment budget is also known as **the capital expenditure budget** and should be aligned with the company's objectives in order to facilitate their achievement. This budget is associated with strategic decisions, usually made by upper management.

- The capital budget lists the necessary **purchases of large assets**, such as property, equipment, furniture, IT systems, etc., that require large amounts and are intended to generate revenue in the long term (non-current assets).

- It states the **amounts and timing of non-current asset purchases** (it also includes possible asset sales) needed to start the business (the minimum amount of money necessary to start the business) and those needed at a later stage. It also includes the useful life and the calculation of depreciations and amortisations to include in the operating budget.

- Long-term financing can be required, so, consider that debt financing has interest costs that impact the business' profitability.

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4 → FINANCING BUDGET

The financing budget shows how the business is being financed. It includes the allocation of funds necessary to purchase non-current assets (investment budget) and also if the operating activity requires any short-term financing.

Two main sources of financing

Equity

Personal capital, share capital. The money is transferred by the owners to cover their stake in the company. It also includes self-financing (retained earnings – the profits accumulated over time after dividends are paid).

External Financing Sources

Loans, e.g. from a bank (borrowed capital) or other financial institutions, also called Debt financing. Debt financing has associated costs, such as, the interest, which should also be considered.

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4 → FINANCING BUDGET

Traditional types of debt financing:

- Bank loans
- Line of credit
- Credit card
- Mortgages
- Bond issues

Other financing types (popular sources for startups financing:

- Bootstrapping
- Angel investors
- Crowdfunding
- Small Business Association Microloans
- Business incubators
- Leasing
- Government loans and grants
- Venture capital

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4 → FINANCING BUDGET

Advantages of Debt Financing

To preserve company ownership, the interest paid is tax-deductible.

Disadvantages of Debt Financing

It can be difficult for the company to meet capital and interest payments in periods of low liquidity, it has an adverse impact on credit ratings (it increases financial risk).

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4 → FINANCING BUDGET

Types of financing sources:

Bank loan - an amount of money a bank loans to the company at an interest rate. The conditions depend on the individual financial situation of each company assessed by the bank (may require collateral security). Companies usually resort to short-term debt financing to finance their working capital for dayto-day operations (salaries, suppliers, etc., due to cash outflows being higher than cash inflows). Longterm debt financing is commonly used to purchase investments (non-current assets, such as buildings, equipment, and machinery.

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4 → FINANCING BUDGET

Types of financing sources (Cont.):

i) Credit cards are issued by a bank or financial institution and allow the cardholder to pay for goods and services on credit (it also has the possibility of cash advance). The cardholder is obliged to pay back the borrowed money, plus interest and any agreed-upon charges, by the billing date or over time.

ii) Line of credit – it involves a pre-set money loaned limit that the company can use until the limit is reached. It is a contract between the bank and the customer that establishes a limit amount, but the customer only accesses the funds according to his financial needs. It is a form of bank loan in the short term, so the repayment usually occurs within a year.

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4 → FINANCING BUDGET

Types of financing sources (Cont.):

iii) Mortgage is another type of financial loan used to purchase buildings, land or other types of real estate. The property purchased acts as collateral to secure the loan.

iv) Bond issues are another way for companies to raise money. Bonds are a loan in which an investor (individuals or entities) gives money to the company. In exchange, the company agrees to pay interest periodically as well as the repayment of money loaned at the maturity date.

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4 → FINANCING BUDGET

Types of financing sources (Cont.):

v) Finance lease (capital lease) is used by companies to purchase large, costly assets. However, the legal owner is the financial institution (leasing company called the lessor), and the user (the company, called the lessee) rents the asset during an agreed-upon period. The financial institution provides the money to pay the asset, and the user pays regular instalments of capital and interest. The user has operating control over the asset and assumes the risks and rewards associated with the ownership of the asset. In terms of accounting, for the user (lessee) the asset is considered a fixed asset and the interest paid, an expense.

vi) Bootstrapping describes a situation in which an entrepreneur starts a company, financing it and running it only using personal finances or operating revenue generated by the company. Facebook and Amazon are examples.

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4 → FINANCING BUDGET

Types of financing sources (Cont.):

vii) Angel investors - An angel investor is someone (usually a high-net-worth individual) who invests his own money to fund startups at the early stages in exchange for a minority stake in the company. In addition to the money they invest. Angel investors offer mentoring and support, thus, the business benefits from their business knowledge and contacts.

viii) Crowdfunding is a method of raising capital from a large number of individuals who invest small amounts of money to finance a new business venture. Usually, this type of funding can be obtained through social media and crowdfunding websites.

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4 → FINANCING BUDGET

Types of financing sources (Cont.):

ix) Small Business Association Microloans – used to finance small and startup companies with small amount loans at low-interest rates. These associations work through partnerships with an intermediary, non-profit, and community-based financiers.

x) Business incubators (or accelerators) offer start ups the necessary resources and support in the early stage of the business. They usually take an equity stake in the company and can also help with debt financing options.

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4 → FINANCING BUDGET

Types of financing sources (Cont.):

xi) Government loans and grants - Government loans are loans made by the government either directly or through private financiers but backed by the government (existence and conditions vary from country to country). These loans are intended to provide funds for those who may not qualify for a loan from a private financier. Some government grants may also be available to finance start-ups and small companies.

x) Venture capital - a form of private equity financing, since investors provide finance to startup companies and small businesses with high-growth potential but require an equity position in the company. Most common in technology-driven businesses such as information technology and communications.

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5 → CASH BUDGET

A cash budget is an estimation of the cash flow of a business over a specific period of time. It requires information from the operating, investment and financing budget. This budget is used to assess whether the entity has sufficient cash to continue over the given time frame.

It informs about the business's cash needs (or surplus), making it possible to identify an efficient allocation of cash. The management can ascertain whether the company needs to raise money or if there is excess capital that can generate profitability.

A cash budget is based on actual inflows and outflows of cash, regardless of accounting principles such as accruals and deferrals. It has the advantage of providing information about when cash comes in and out of the company without bias deriving from accounting principles.

In budgeting, it is a crucial element of information
a company can have a considerable net profit and still be lacking

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5 → CASH BUDGET

How to prepare:

- Account for all the company's cash flows for each period, cash inflows (sources of cash) and cash outflows (uses of cash).
- Consider that the date you invoice your client may not be the date you have a cash inflow (clients on credit).
- Take into account that the moment you expense an item does not necessarily match the time that item is paid. Example: Suppliers to be paid 30 days after invoice.
- Non-cash expenses, such as depreciation, obviously, do not impact the cash budget.

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This work should follow a methodology specific to an innovative and entrepreneurial environment, such as:

- **Identification and description of the business area**
- **Identification of business opportunities in a given sector definition**
- **Description of the particular business or product**
- **Analysis of the market, competitors, existing barriers**
- **SWOT analysis**
- **Operationalization, necessary resources (human, financial and technological) and associated risks necessary financing and expected return**
- **Financial Plan**
- **Presentation of group work – 13.04.2026**

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